

Innovation as a Core Business Process

Chapter 2 — Managing Innovation

Presented by:

Bibek Ropakheti

Learning Objectives

By the end of this chapter, you will be able to:

- **Define** innovation as a managed process rather than a random event.
- **Identify** the four key stages of the innovation process model.
- **Analyze** the challenges associated with managing each stage.
- **Understand** the role of organizational context in supporting innovation.
- **Evaluate** the concept of "routines" in building innovation capability.

Innovation: Magic or Management?

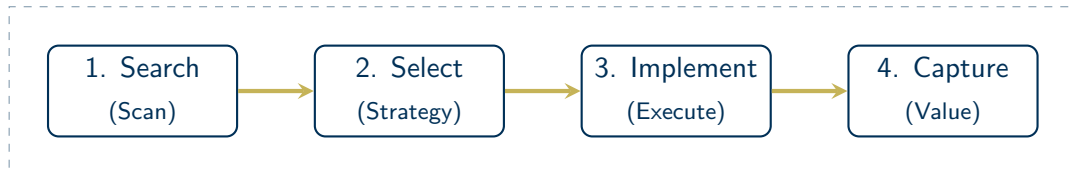
There is a common myth that innovation is purely about a "spark of genius" or a "eureka moment."

The Reality

Innovation is a process of turning opportunity into new ideas and putting these into widely used practice. It is a core business process, similar to marketing or operations, and it can be managed.

Key Insight: Successful organizations do not rely on luck; they build repeatable **routines** to manage the uncertainty of innovation.

The Core Innovation Process Model



This generic model applies to all types of innovation (product, process, service) and all sectors.

Step 1: Search (Scanning)

How do we find opportunities for innovation?

The Challenge

Information is everywhere, but useful signals are hard to detect amidst the noise.

Sources of Innovation:

- **Internal:** R&D, suggestion schemes, mistakes.
- **External:** Customers (User Innovation), competitors, regulations, market trends.

Key Routine: Developing "peripheral vision" to spot trends before competitors do.

Step 2: Select (Strategic Choice)

We cannot do everything. We must choose where to invest limited resources.

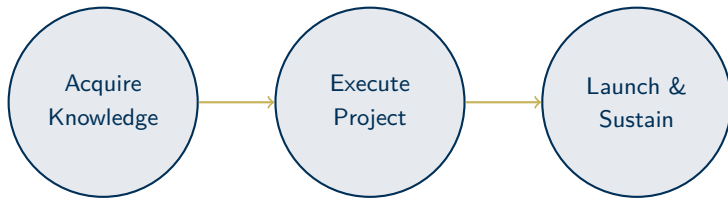
- **Risk vs. Reward:** Innovation is inherently risky. Selection is about portfolio management.
- **Strategic Fit:** Does this idea align with our overall business strategy?
- **Capabilities:** Do we have the skills/tech to do this? (Or can we acquire them?)

The Funnel

The selection process acts as a funnel, filtering many ideas down to the few projects that will actually be launched.

Step 3: Implement

Turning the idea into reality. This is often the most costly and time-consuming phase.



Iterative Problem Solving

Critical factors: Project management, cross-functional teams, and flexibility to pivot when problems arise.

Step 4: Capture Value

Innovation is not just invention; it must create value.

- **Commercial Value:** Market share, profit margins, brand growth.
- **Social Value:** Improvement in quality of life, sustainability.
- **Internal Value:** Learning new technologies, improving efficiency.

Appropriability

How do we protect our innovation from being copied immediately? (Patents, secrecy, speed to market, complexity).

The Context: It Doesn't Happen in a Vacuum

The 4-step process requires enabling conditions to function.

1. Strategy

- Clear vision.
- Leadership commitment.

2. Innovative Organization

- Creative climate.
- Appropriate structure (Flexible vs. Rigid).

3. Linkages

- "Open Innovation."
- Connecting with suppliers, universities, and partners.

Definition: Routines

"The way we do things around here." These are learned behaviors that become automatic over time.

Organizations are not born excellent at innovation; they learn it.

- **Ad-hoc:** "We got lucky once."
- **Systematic:** "We have a process for finding and executing ideas."

Innovation management is about moving from ad-hoc responses to systematic routines.

Evolution of the Process Model

As the world changes, the innovation process evolves.

Old View (Linear)	Modern View (Networked)
Technology Push	Coupling (Push + Pull)
Closed Lab	Open Innovation
Internal focus	Ecosystem focus
Static process	Agile / Lean Startup

Note: While the core steps (Search, Select, Implement, Capture) remain, *how* we perform them has become more open and iterative.

Key Takeaways:

1. Innovation is a core business process that can be managed and improved.
2. It consists of four generic steps: **Search, Select, Implement, Capture.**
3. Success depends on the supporting context: Strategy, Organization, and Linkages.
4. Dynamic Capabilities: The ability to review and update these routines is crucial for long-term survival.

Thank You

Questions?